

# The Politics of Late Development

## Section 3

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Sima Biondi

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Gov 20: Foundations of Comparative Politics

- 1 Recap
- 2 Discussion: state as problem or solution?

Last week: start to explain patterns of 20th century economic development

In this section, we continue to explain patterns of economic development but focus on, the role of:

1. the state
2. regime type, and
3. their interaction

**1** Recap

**2** Discussion: state as problem or solution?

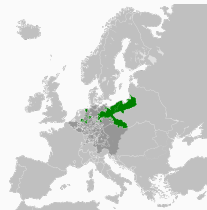
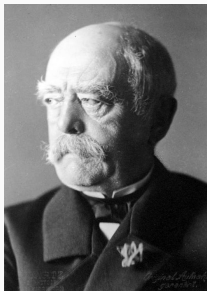
## Recap of important concepts

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- **State:** an organization or group of institutions with total control over a given territory
- **Regime:** describes a system of rule
- **Government:** a group of people or set of institutions that wield state power

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Under the Prussian monarchy, the Bismarck government used Prussian state institutions to pursue a policy of Realpolitik.

1 Recap

2 Discussion: state as problem or solution?

## Discussion: state as problem or solution?

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Why did state-led development work for the East Asian NICs but not other places?

## Discussion: state as problem or solution?

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How did the East Asian NICs develop so quickly?

## Discussion: state as problem or solution?

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How did the East Asian NICs develop so quickly?

- (a) an autonomous civil service that was professional and cohesive,
- (b) an hands-on bureaucracy that facilitated technology transfer while successfully picking winners and losers,
- (c) business-friendly policies that protected certain domestic industries and favored capital holders over labor.

## Discussion: state as problem or solution?

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Why did state intervention fail to promote development in other parts of the world when it was so successful in East Asia?

## Discussion: state as problem or solution?

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Why did state intervention fail to promote development in other parts of the world when it was so successful in East Asia?

Easy answer: not successful developmental states

More complex answer (Bates, Levitsky's lecture):

- protected firms remained inefficient because they had a large market share due to small domestic markets and were (often) government-owned
- inefficiencies preclude full industrialization because they cannot export manufactured products that compete on the global market.

## Discussion: state as problem or solution?

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What are the positive contributions that the state can make to development and what are the potential risks of state intervention?  
What are the costs and benefits of state-led development?

## Discussion: state as problem or solution?

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What are the positive contributions that the state can make to development and what are the potential risks of state intervention?

What are the costs and benefits of state-led development?

- Makes development/industrialization process faster-concentrates capital, transfers technology, directs industry
- Potentially limits democratic development or broad political participation, suppresses labor power

## Discussion: role of regime type?

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According to the readings so far, does regime type matter for economic development? Is there a trade-off between democratic institutions and development?

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According to the readings so far, does regime type matter for economic development? Is there a trade-off between democratic institutions and development?

- Yes, the developmental state needs concentrated power to shape the market how it sees fit
- Johnson: When this level of regulation and intervention is combined with high or broad levels of political participation, it can distort the incentives of politicians and bureaucrats enacting industrial policy
- Chaudry: Political crisis between state-building (creating a new elite class) and capitalist growth (former elites with capital)

Last week: start to explain patterns of 20th century economic development

In this section, we continue to explain patterns of economic development but focus on

1. role of the state
2. regime type
3. their interaction

## Next week: reminders

Focus on these readings: Fukuyama, Tilly, Herbst, Centeno, Paglayan

- Email: sbiondi@g.harvard.edu + "Gov 20"
- Section website: [https://simab.github.io/teaching/2026-27/gov20/gov20\\_fall126.html](https://simab.github.io/teaching/2026-27/gov20/gov20_fall126.html)

